Understanding the Mechanics Behind Merchant POS Lending

01

A merchant-finance masterclass: connect business evidence, the request, the decision and the account.

THE FINANCED PARTY IS THE MERCHANT BUSINESS

KEY · Evidence · Structure · Authority · Lifecycle

WHAT THE BUSINESS BRINGS

Sales & settlement
Deposits & liquidity
Existing obligations
Resilience & usable evidence



Merchant

Requests an advance.
Carries the obligation.

WHAT THE BUSINESS REQUESTS

Advance amount
Remittance rate
Payback multiple
Repayment horizon

Evidence & capacity → **Risk & economics** → **Structure search** → **Final authority**

ONLY THE AUTHORIZED, FUNDED PATH CONTINUES

Funding → **Remittance** → **Monitoring** → **Portfolio insight**

Learn the interaction: merchant ability × requested structure → governed decision → accountable lifecycle.

TRY IT — Why is a strong sales total not enough to approve an advance?

ANSWER — Sales must support the requested burden after obligations, liquidity, risk, economics and authority tests.

Read the merchant—not just the sales total

02

Seven evidence families perform different jobs. Context is not permission, and revenue is not capacity.

BUSINESS CONTEXT

Industry · size · relationship

→ **Margin assumption & context risk**

SALES & SETTLEMENT

Level · trend · variability · gaps

→ **Operating cash & resilience**

LIQUIDITY

Balance · negative days · NSF

→ **Cushion & signs of cash stress**

Merchant evidence

What is observed?
What can it support?

RESILIENCE

Revenue + liquidity + burden + continuity + confidence

EXISTING OBLIGATIONS

Fixed + sales-linked · stacking

→ **Cash already committed**

VERIFICATION & CONTINUITY

Usable history · conflicts · outages

→ **Assessability & judgment gates**

RISK & ECONOMICS

Comparative risk · costs · loss

→ **Credit tiers & required hurdle**

Size and relationship are not standalone vetoes here. Trace the decision role each field actually plays.

TRY IT Similar sales, different supportable amounts: which drivers could explain the difference?

ANSWER Obligations and modeled margin alter residual cash; liquidity, evidence, risk and request terms also matter.

Sales tell a pattern—not only a total

03

Average sales feed cash generation. Their pattern feeds the source revenue-resilience component.

Start with level

30-day average eligible sales → modeled cash, obligations and remittance burden

Zero sales is a value.
An outage can remove usable evidence.

40% Trend

30-day average / 90-day average − 1

Growth after source scaling

25% Stability

Daily standard deviation / daily mean

Lower variability helps the component

20% Activity

Zero-sales days / defined window

Inactivity is assessed separately

15% Concentration

Largest 30-day share within 180 days

Dependence on one period matters

Normalize → clip each component to [0,1] → apply weights → × 100

This is one resilience component, not the final integrated risk score. Windows and evidence availability still govern.

TRY IT Can four raw percentages be added to reproduce the revenue score?

ANSWER No. Scale and clip each feature first. Then apply 40% / 25% / 20% / 15%; missing inputs can block it.

Build capacity from cash and commitments

04

Merchant 098 / Baseline. Every amount below belongs to a stated input, operation or output.

098

SYNTHETIC MERCHANT 098

Cash after commitments

BASELINE

START WITH SOURCE INPUTS

Eligible sales / day

$423.27

Policy operating margin

30%

Existing obligations / day

$4.19

Observed average balance

$1,717.45

CASH GENERATION MINUS TOTAL DAILY BURDEN

C = $423.27 × 30%

$126.98 / day

D = $4.19 existing + $72.75 new

$76.94 / day

Residual: $126.98 − $76.94 = $50.04 / day

PROJECT LIQUIDITY — DO NOT ADD THE ADVANCE PRINCIPAL

$1,717.45 + (30 × $50.04) = $3,218.65

Coverage = C / D
$126.98 / $76.94 = 1.6504×

Buffer days = projected buffer / D
$3,218.65 / $76.94 = 41.8332 days

30% is this industry policy assumption—not a measured profit margin. Source operations round to cents.

TRY IT Why is $1,717.45 observed balance different from the $3,218.65 projected buffer?

ANSWER The model adds 30 days of residual cash. The projection is not an observed balance or an advance deposit.

Before judging performance, establish evidence

05

An available record is not the same as an available decision-critical feature.

738

SYNTHETIC MERCHANT 738

Missing is not zero

MATCHED ALTERNATIVE SCENARIOS

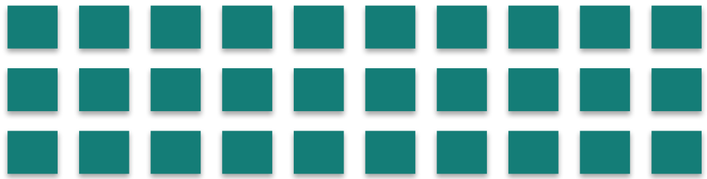
SIX SYNTHETIC CHECK FAMILIES

Entity / KYB
Beneficial owner
Bank-account match
Processor match
Fraud screen
Sanctions

These labels do not claim a live provider connection.

BASELINE

30 / 30 usable days

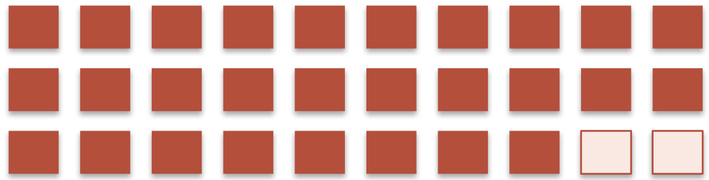


$4,154.96 / day available

$25,000 authorized

RECESSION ENERGY

28 / 30 usable days



Eligible-sales feature unavailable

Capacity, risk & economics withheld.
Outcome: evidence decline.

Required: 30 usable days. Stress has two disconnected outage days.
Count display only—not the historical position of those outages.

A broad COMPLETE or REVIEW label does not replace the specific availability and binding-reason records.

TRY IT — Can a smaller request repair 738's missing eligible-sales feature?

ANSWER — No. Revised terms cannot supply missing observations. Required evidence must exist before dependent tests.

Risk and economics answer different questions

06

A high contribution cannot cancel an adverse capacity, evidence or authority test.

M1.12 / COMPARATIVE RISK

1. Operating resilience
2. Capacity / burden
3. Liquidity
4. Source confidence
5. Verification / fraud
6. Processor continuity
7. Industry / relationship context

Weighted components + explicit floors → synthetic risk proxy and tier

M1.13–M1.14 / ECONOMIC BRIDGE

Comparative loss = weighted exposure × synthetic risk proxy × LGD

Contribution = finance revenue − non-loss costs − comparative loss − risk-capital charge

Non-loss costs: processing, acquisition, funding, servicing and operations. LGD is modeled loss share after recovery.

CASE 098 / BASELINE REQUEST

$654.26 > $230.79

Contribution exceeds the required hurdle.
Hurdle = $5,200 × 18% × 90 / 365

Strict risk / resilience tier ≤2; review ≤3. Synthetic risk is not calibrated PD; contribution is not profit or APR.

TRY IT — Does clearing the economic hurdle compensate for a capacity failure?

ANSWER — No. Capacity and economics are separate required tests. Strong contribution cannot waive another gate.

Read the request as four linked parameters

07

The total, the sales share and the timing benchmark do different jobs. Actual collection is a separate ledger.

CASE 098 / BASELINE

ADVANCE	PAYBACK	REMITTANCE	HORIZON
$5,200	1.259198×	10.9032%	90 days
Capital requested	T = round(A × m, 2)	Share of eligible sales	Assessment timing

Repayment target: $6,547.83 | Horizon demand: $72.75 / day

SEPARATE DAILY ILLUSTRATION / RATE = 10% / BALANCE SHOWN BEFORE COLLECTION

ELIGIBLE SALES	10% SHARE	REMAINING BALANCE	ILLUSTRATIVE REMITTANCE
$2,000	$200	$5,000	$200 — share binds
$2,000	$200	**$80**	**$80 — balance caps collection**

Assessment burden uses the larger test. Daily collection uses the smaller of sales share and remaining balance.

TRY IT At $1,500 eligible sales and a $100 balance, what is a 10% remittance?

ANSWER $100. The share is $150, but min($150, $100) = $100. All assumptions belong to this illustration.

Change one term. Find the binding burden.

08

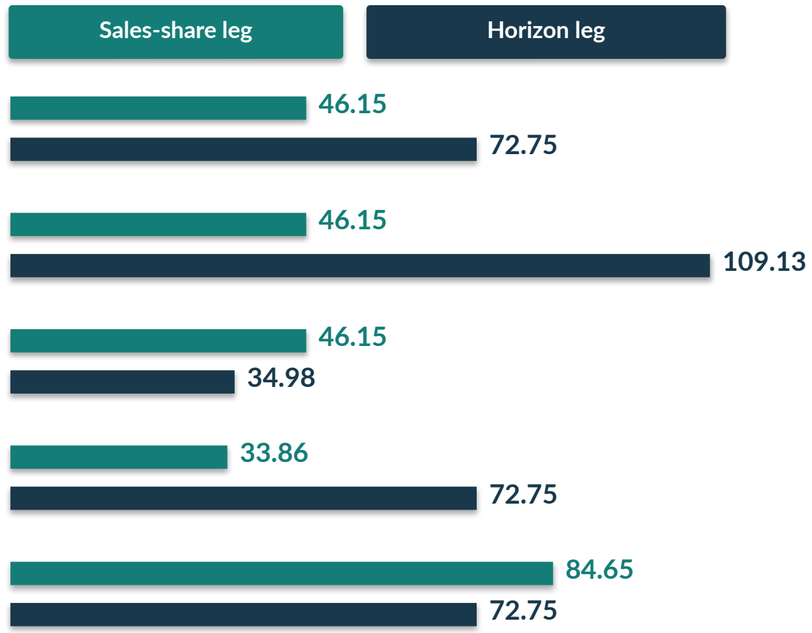
A lower amount or rate does not guarantee a lower assessment burden: the other leg can remain binding.

Hold fixed: S = $423.27/day · m = 1.259198 · margin = 30% · existing = $4.19/day
N = max[round(S × r, 2), round(round(A × m, 2) / H, 2)]

CONTROLLED VARIANTS — NOT R26 CANDIDATE RESULTS

CHANGE	AMOUNT	RATE	DAYS	N / DAY
Source request	$5,200	10.9032%	90	**$72.75**
Shorter horizon	$5,200	10.9032%	60	**$109.13**
Lower amount	$2,500	10.9032%	90	**$46.15**
Lower rate	$5,200	8.0000%	90	**$72.75**
Higher rate	$5,200	20.0000%	90	**$84.65**

TWO DEMANDS / $ PER DAY



Follow the max operator. Changing a nonbinding leg can leave assessed burden unchanged.

TRY IT Why does reducing the remittance rate to 8% leave N unchanged?

ANSWER The $72.75 horizon leg still exceeds the $33.86 sales-share leg. The larger amount governs.

Fit the structure inside the capacity boundary

09

The frontier is a composite test—not an average in which a strong buffer offsets weak coverage.

SOURCE CAPACITY GATES / AMOUNTS AND RATIOS ARE NOT INTERCHANGEABLE

DIMENSION	STRICT FRONTIER	REVIEW FRONTIER	WHAT IT PROTECTS
Coverage: cash / burden	≥ 1.25×	≥ 1.00×	Cash generation against commitments
Total burden / sales	≤ 22%	≤ 30%	Share of sales committed
Projected buffer / burden	≥ 15 days	≥ 5 days	Liquidity relative to commitments
Residual cash	≥ $0	Composite tier governs	No extra standalone tier-3 floor
Capacity tier	≤ 2	≤ 3	The conditions work together

082

BASELINE

SYNTHETIC MERCHANT 082

Large buffer, failed request

127.8328

Buffer days / passes

0.7180×

Coverage / fails

33.4278%

Burden / fails

Stacking <3 is a tier-1 condition—not an independent universal veto for otherwise valid tier-2/3 paths.

TRY IT Does a large bank balance prove merchant 082's request is affordable?

ANSWER No. Requested residual cash is −$471.87/day; coverage and burden fail despite a large buffer.

What can revised terms fix—and what can't they?

Read the specific condition before deciding whether to search, review, preserve an advisory or stop.

EVIDENCE	Missing required feature	→ **Evidence decline** — Do not zero-fill
HARD STOP	Non-remediable prohibition	→ **Policy decline** — Terms cannot waive it
STRUCTURE	Capacity / economics FAIL or REVIEW	→ **Governed search** — Recalculate alternatives
JUDGMENT	Conflict · MEDIUM confidence · fraud tier 3 Disrupted / unavailable continuity	→ **Review can remain** — Keep the binding review gate
ADVISORY	Processor WATCH or selected warnings Critical evidence remains usable	→ **Specific rule controls** — Retain—not automatic decline

738 has verification REVIEW in both scenarios—but no binding human-judgment gate. The stress feature gap controls.

Human conditions are source-defined. A generic REVIEW label is not executable decision logic.

TRY IT — Why does 738's broad verification REVIEW label not explain its stress evidence decline?

ANSWER — Its refined human gate is NONE. Stress separately lacks 30 usable POS days; that specific evidence failure binds.

Search a governed set—not an unlimited menu

M2.2 constructs and tests. M2.3 selects under authority and matched-scenario constraints.

Enter remediable path → **Construct exact terms** → **Recalculate all required tests**

STRICT FRONTIER

Strict credit limits + economic hurdle + no remaining human-authority block

REVIEW FRONTIER

Review-eligible limits + economic hurdle + identified review requirements

Authority-first selection → preserve the matched-stress floor → retain the final decision record

40%	30 / 60 / 90	0% / 2%	6,519
Min. amount / request Max. reduction: 60%	Supported horizons in days	Repayment increase: automatic / review	Reportable structures —not approvals

Repayment guardrails use total target—not APR—with a $0.01 source rounding tolerance. Both frontiers require economics.

TRY IT — Can higher modeled return admit a candidate below the 40% amount floor?

ANSWER — No. Policy admissibility and feasibility come before preference. The objective cannot waive a boundary.

Candidate lab: where the boundary moves

12

Merchant 082 / Baseline. Compare actual exported candidates—not a hypothetical search result.

CASE 082 / BASELINE

Sales $5,005.02/day · Existing payments $547.51/day
All rows: 13.0606% remittance · 1.255266× payback · 60 days

AMOUNT	COVERAGE	BURDEN / SALES	SOURCE STATUS	BINDING EXPLANATION
$53,800	0.7180×	33.4278%	INFEASIBLE	Requested capacity fails
$31,300	0.9991×	24.0227%	INFEASIBLE	Still below 1.00× review coverage
$31,200	**1.0000×**	**23.9999%**	**REVIEW ELIGIBLE**	**Selected—but capacity + judgment review remain**
$31,100	1.0000×	23.9999%	REVIEW ELIGIBLE	Not selected; same burden plateau
$2,500	1.0000×	23.9999%	INFEASIBLE	Below the $21,520 minimum amount

$31,300 → $31,200 crosses review feasibility.
It does not cross into automatic authority.

At lower amounts, the sales-share leg binds. Further principal reduction need not reduce burden.

Do not round 0.9991× up to 1.00×. The actual boundary, selected flags and final authority govern.

TRY IT Why does the $2,500 candidate fail despite 1.00× coverage?

ANSWER It is 4.65% of the $53,800 request—below the 40% floor ($21,520). Passing capacity cannot override it.

A supportable structure still needs authority

Merchant 082 / Baseline. Two distinct reasons keep the selected alternative on a review path.

082

BASELINE CASE

$31,200

selected alternative
from a $53,800 request

13.0606% remittance
60 days
$39,164.30 target

COUNTEROFFER REVIEW REQUIRED

DIAGNOSE BOTH GATES — NOT ONLY THE FAVORABLE BUFFER

GATE 1 / CAPACITY

Review—not strict

Coverage 1.0000× < 1.25×
Burden 23.9999% > 22%
Capacity tier 3 > 2
Buffer 189.8346 days is strong

GATE 2 / HUMAN JUDGMENT

MEDIUM confidence

The source explicitly requires review. Raising coverage alone does not remove this condition.

BASELINE SUPPORTABILITY IS NOT THE AUTHORIZATION RATE



300 supportable paths = 103 authorized + 197 reviewable

Supportable does not mean funded, accepted by the merchant, or automatically authorized.

TRY IT — Would raising coverage to 1.25× remove every reason for review?

ANSWER — Not necessarily. MEDIUM_DATA_CONFIDENCE remains, and every other strict condition must still pass.

Seven outcomes—and the reason behind each

14

Read the driver pattern as well as the label. The source final record resolves combined conditions.

AUTHORIZED
130 paths

115 As requested
Requested structure satisfies governing tests and authority.

15 Counteroffer
A permissible alternative satisfies tests and final authority.

REVIEW
250 paths

212 Counteroffer review
A selected alternative exists; a binding review gate remains.

38 Manual underwriting
The source classification still requires underwriting judgment.

DECLINE
1,120 paths

234 Insufficient evidence
Required inputs cannot support the dependent assessment.

652 No feasible structure
No eligible final structure remains after search and governance.

234 Policy hard stop
A non-remediable condition controls despite revised terms.

130 + 250 + 1,120 = 1,500 application-scenario paths. Pooled taxonomy counts are not 1,500 merchants.

TRY IT Can “no feasible structure” follow an independent review candidate?

ANSWER Yes. For 082 stress, the matched-stress floor leaves no eligible final candidate. Independent support is not final authority.

The preferred candidate is not always the final one

15

Merchant 098 / Recession Energy. Governance can select a lower modeled return within the same amount.

CASE 098 / MATCHED SCENARIOS

SOURCE MEASURE	BASELINE	STRESS
Sales / day	$423.27	$386.18
Observed balance	$1,717.45	**−$664.17**
Coverage	1.6504×	1.5057×
Buffer days	41.8332	**6.5393**
Final amount	$5,200	**$2,500**

The stress request misses the strict 15-day buffer boundary. The selected smaller structure is recalculated.

TWO ACTUAL $2,500 STRESS CANDIDATES / 90 DAYS

TERM / RESULT	INDEPENDENT	GOVERNED
Remittance	10.6851%	**10.9032%**
Payback	1.284382×	**1.259198×**
Modeled annual return	32.3130%	**23.8175%**
Role	Preferred locally	**Final selected**

The final preserves Baseline remittance and payback terms. Recomputed: coverage 2.5022×, burden 11.9892%, buffer 30.7199 days.

Same rules, different constraints: 098 reselection | 082 no floor-eligible candidate | 738 missing evidence

Matched scenarios are alternatives—not time events or M2.11 profile changes. Modeled return is not APR or profit.

TRY IT Why can’t 082 stress or 738 stress simply copy 098’s lower amount?

ANSWER 082 loses eligible candidates under the stress floor. 738 lacks required evidence. Neither is repaired by copying a term.

Follow the exact path into the account

16

A merchant identifier is not enough. Funding membership belongs to an application and a scenario.

DECISION RECORD → FUNDED MEMBERSHIP → ACCOUNT-DAY EVIDENCE

1,500

Decision paths

Application × scenario

130

Funded paths

103 Baseline + 27 Recession Energy

15,600

Monitoring account-days

130 funded paths × 120 days

CASE 738 / KEY LAB

RUN | SCENARIO | APPLICATION	FINAL DECISION	FUNDED MEMBERSHIP
1 | 5 | …M000738_A01	Baseline: $25,000 authorized	AccountKey + AdvanceKey exist
1 | 6 | …M000738_A01	Stress: evidence decline	**No account / no funded match**

Keys are abbreviated here. The full run / scenario / application identities are retained in the source-reading guide.

Authorization is not a universal guarantee of booking. This synthetic population has 130 of each; funded membership is the proof.

TRY IT — What happens when the stress-declined 738 path is joined only on merchant ID?

ANSWER — The Baseline account could leak into the stress path. Use the complete run / scenario / application key.

What does active monitoring actually watch?

All active families require an unpaid path. Families can overlap; a signal is not permission to act.

INPUT → SOURCE TEST → OPERATIONAL MEANING

PACE	Cumulative remittance / capped expectation	**Watch <90%: day ≥21. Adverse <75% / <50%: day ≥30. Three consecutive eligible breaches.** Behind the selected structure's expected trajectory.
NO REMITTANCE	Days since positive remittance	**Day ≥14 and ≥7 days without positive remittance. At ≥14 such days, dormant status can govern.** Collections have stopped—not merely slowed.
SALES DORMANCY	Consecutive zero-sales days	**Day ≥14 and zero-sales streak ≥10.** Underlying sales activity has stopped.
LIQUIDITY	Balance · NSF events · negative flag	**Day ≥7 AND any of: balance <0; NSF >0; negative flag.** Cash stress can arise before pace seasoning.
HORIZON	Elapsed day · selected horizon · unpaid balance	**Day ≥14; day > selected horizon; balance >0.** Repayment timing has overrun. The balance remains.

The selected structure sets the benchmark. Payments, sales, liquidity and elapsed time supply the changing observations.

TRY IT Can day-8 liquidity create a watch signal before pace becomes eligible?

ANSWER Yes. Liquidity starts at day 7 under its own conditions. The 21/30/3 rule applies to pace—not all signals.

Pace is a benchmark plus persistence

Merchant 749 / Baseline. Separate actual cash collected from the expected repayment benchmark.

749

SYNTHETIC MERCHANT 749

Actual vs expected pace

BASELINE

EXACT POLICY FRAGMENT

```
'pace_watch_eligibility_day': 21,
'pace_adverse_eligibility_day': 30,
'pace_persistence_days': 3,
```

r26_policy.py · lines 9–11
This fragment is not the complete status model.

ACTUAL CASE / SELECTED TARGET $21,451.04 / HORIZON 90 DAYS

$$\text{Expected}(d) = \min[\text{round}(T / H \times d, 2), T]$$

Day 32: expected = $7,627.04
Actual cumulative remittance = $5,109.42

$$\text{Pace} = \$5{,}109.42 / \$7{,}627.04 = 66.99\%$$

EARLIEST PACE-ONLY QUALIFICATION / NOT AUTOMATIC

Watch	21 → 22 → 23	<90% on each eligible day
Adverse	30 → 31 → 32	<75% / <50% on each eligible day

Expected cumulative repayment caps at T. R26 changes interpretation—not the retained physical remittance amounts.

TRY IT — Why can 66.99% qualify on day 32 while a poor earlier ratio did not?

ANSWER — Adverse pace needs three eligible breaches from day 30. Earlier ratios earn no persistence credit; other rules still apply.

One account. Several signals. One governed status.

19

Merchant 749 / Baseline. Improving pace does not erase an unpaid horizon overrun.

ACTUAL SELECTED OBSERVATIONS — NOT A MANDATORY STATUS STAIRCASE

DAY 7	DAY 23	DAY 32	DAY 90	DAY 91	DAY 120
53.81%	64.12%	66.99%	59.96%	61.07%	78.09%
Cumulative pace	Cumulative pace	Cumulative pace	Cumulative pace	Cumulative pace	Cumulative pace
CURRENT	WATCH	UNDERPERFORMING	UNDERPERFORMING	SEVERE SHORTFALL	SEVERE SHORTFALL
1 raw / 0 families	2 raw / 1 family	3 raw / 1 family	3 raw / 1 family	3 raw / 2 families	4 raw / 3 families

DAY 120 / WHY THE STATUS STAYS SEVERE

PACE: Watch-level family
LIQUIDITY: also active
HORIZON: 90 days exceeded; $4,699.37 unpaid

TWO DIFFERENT PRECEDENCE RULES

Status: paid off → dormant → severe → underperforming → watch → current

Primary family: horizon → liquidity → sales dormancy → no remittance → pace

Primary family is a label of precedence—not proof that every other active family disappeared.

TRY IT — At day 120, why does 78.09% pace not make the account merely Watch?

ANSWER — The unpaid 90-day horizon has been exceeded. Horizon severity governs; pace and liquidity signals still remain.

A recommendation is not permission to execute

20

The retained M2.6 branch is narrower than its captured context. Only the stated conditions select the route.

ACTUAL RETAINED ROUTING BRANCH

1. **Paid off?**
   → Closed / no further action
2. **Else: severe + open_rank = 1?**
   → Temporary remittance review
3. **Else: Watch / adverse / dormant?**
   → Targeted outreach review
4. **Else**
   → Continue standard monitoring

open_rank: unpaid exposure descending, then advance ID.
Other captured variables are not automatically extra branches.

OBSERVED ROUTES → SETUP → EXECUTION

126	**Closed / no further action**	Paid-off state
1	**Temporary remittance review**	Permitted active servicing
3	**Targeted outreach review**	Setup / processing held

CASE 749 / PROOF OF THE ACTIVE PATH

Setup authorized = true → Processing authorized = true
Execution outcome + payment events prove processing.

The source ownership chain is not a manufactured calendar of real events. Reaching a horizon does not forgive a receivable.

TRY IT Does a targeted-outreach recommendation prove that an action happened?

ANSWER No. The three outreach paths remain held. Read setup permission, processing permission and the execution result separately.

Reconcile the event—and the receivable

21

Merchant 749 / Baseline. A settled retry can resolve processing without paying off the account.

QUESTION 1 / DOES THE EVENT LEDGER RECONCILE?

SCHEDULED	LESS RETURNED	PLUS SETTLED RETRY	NET PROCESSED
$1,762.25	−$251.75	+$251.75	$1,762.25

7 source events = 5 settled + 1 returned + 1 retry. Do not add the retry twice: net is not $2,014.00.

QUESTION 2 / WHAT RECEIVABLE REMAINS AT EACH STAGE?

749 / M2.5 RECEIVABLE → AFTER M2.8

$4,699.37 − $1,762.25

= $2,937.12 still outstanding

FULL BASELINE PORTFOLIO BRIDGE

M2.5 $7,823.28 − $1,762.25
= M2.10 $6,061.03

$3,123.91 in three review holds
+ $2,937.12 active / reconciled

Stage-owned balances are not contradictory views of one state—and their bridge is not a measured loss reduction.

TRY IT Can zero unresolved exceptions coexist with a $6,061.03 receivable?

ANSWER Yes. Reconciliation establishes agreement of events and balances. Payoff is a different question: is the receivable zero?

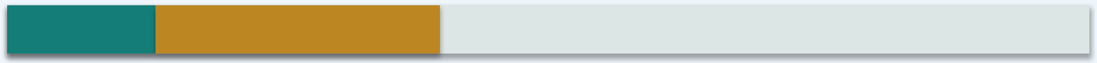
Turn a portfolio number back into an explanation

22

Name the population, driver, rule and proof. Then show someone else how to trace the result.

BASELINE

103 / 750 = 13.7% authorized

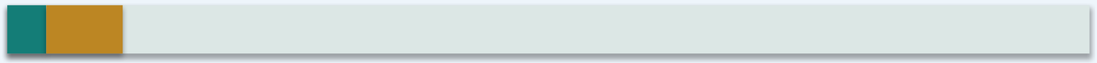


300 supportable = 103 authorized + 197 review

Synthetic funding $1,385,300 | Paid off / funded 99 / 103

RECESSION ENERGY

27 / 750 = 3.6% authorized



80 supportable = 27 authorized + 53 review

Synthetic funding $344,200 | Paid off / funded 27 / 27

Each bar = 750 paths: teal authorized · gold review · pale declined.

TWO READ-ONLY INVESTIGATIONS — FOLLOW THE EVIDENCE, NOT THE CHART ALONE

082

SYNTHETIC MERCHANT 082

Why is $31,200 selected but not funded?

BASELINE / CANDIDATE → BINDING REVIEW GATES → FUNDED KEY

749

SYNTHETIC MERCHANT 749

Why does a resolved return leave exposure?

BASELINE / EXECUTION → ACCOUNT CERTIFICATION → BALANCE

Question + key → Driver + rule → Source proof → Certified insight

27/27 stress payoff is a selected-subset result—not proof stress improved performance. Power BI consumes source facts.

TRY IT — Which denominator answers authorization—and which answers payoff?

ANSWER — Authorization uses all 750 paths in the named scenario. Payoff uses its funded subset: 103 or 27.

Understand the business. Explain the decision.

Connect what is known, what is requested, what is permitted, and what happens next.

I READ THE MERCHANT

Sales start the question.

Usable evidence, cash flow and existing obligations shape capacity.

II READ THE REQUEST

Terms work together.

Evaluate amount, remittance, payback and horizon as one financing structure.

III SEARCH & DECIDE

Support is not authority.

A permissible alternative must still clear its final credit and judgment gates.

IV FOLLOW THE ACCOUNT

Funding starts a new question.

Monitor before acting. Reconcile events and balances. Explain what remains.

Do not stop at the outcome. Teach the reason behind it.

FINAL TRY IT

Choose one merchant case. Explain its outcome without saying “because the model said so.”

ANSWER / TEACH-BACK CHECK

Name the inputs, the binding rule, the permitted action and the account evidence.

Start with the merchant. Test the structure. Respect authority. Follow the account.